COMMERCIAL MEASUREMENT

What Did It Cost You to Put That Number on the Page?

How a service firm can decide which quotes deserve more work and which ones keep coming back for the wrong reason.



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An estimator sends two quotes on Friday. One is a repeat order. The second is a custom build with two options, a site visit and a revised supplier price. The owner sees two quotes on the weekly report. The estimator and project lead spent most of a day on one of them. Sales is ready to count them as equal progress.

The question for the owner is what that effort bought. Was the custom quote a good use of experienced people? How much of the time went into a decision the customer needed, and how much went into finding the current drawings again?

Calculate quoting cost by grouping comparable quotes and multiplying time by each role's hourly cost, then adding relevant direct expenses. Include revisions and review. Separate the cost of preparing the quote from the margin on a won job. Use the calculation to decide where to improve intake, qualify work sooner, or make expert time available for better opportunities.

Why does the average quote cost hide the useful decision?

Group quotes by what drives the work, such as repeat orders, new jobs with a standard scope, and complex jobs that need investigation. Compare the time, rework, and decisions in each group. A single average can make the firm optimize the wrong step.

Picture a lampshade in a large box. It hardly weighs anything, but it still takes up a good share of the shelf in a truck. FedEx explains that it compares the package's actual weight with a weight calculated from its dimensions and uses the greater one for pricing. The rule draws attention to the capacity the parcel uses. To understand what a quote costs, ask the same question about the people it occupies and the work they could otherwise do. FedEx on dimensional weight

A $25,000 specialty installation may need multiple supplier calls because nobody knows the site condition. A $100,000 repeat scope may use confirmed quantities and prices. Find the reason the smaller quote takes longer. If the time went into verifying a risk that matters, it may be worth spending. If it went into finding an attachment that should have been available at intake, fix that gap.

What does a worked quoting-cost calculation look like?

Record the actual minutes each person spends, including calls, takeoff, checking supplier rates, reformatting, approvals and revisions. Multiply each by the role's hourly cost on the same basis. Add direct costs such as travel or a paid measurement if they belong to the quote.

Work on an illustrative custom quote	Time	Hourly cost	Cost
Sales and qualification	0.75 h	$60	$45
Estimating and one revision	3.0 h	$80	$240
Project lead's feasibility check	1.0 h	$100	$100
Direct travel expense	—	—	$40
Total	**4.75 h**	—	**$425**

Use this as a Quoting Cost Record. An hourly cost might include pay, employer costs, and an agreed allocation of overhead. Specify the basis so you can compare periods. If travel time is already in a role's hours, keep only the separate direct expense on the last line. Record elapsed time apart from hours worked. A quote can sit untouched for a day awaiting a supplier without incurring a day of staff effort.

When does faster quoting help the business financially?

Decide what the business will do with the time and measure that use. Time released is capacity. A cash saving requires a cost to go away. Additional revenue requires the capacity to reach a real opportunity and the business to win and deliver the work.

Suppose a clearer scope check cuts 45 minutes of estimating work on 40 similar quotes a month. That releases 30 hours under those assumptions. At the illustrative $80 hourly cost, that is $2,400 of estimating capacity. It becomes a cash saving only to the extent the firm avoids an actual cost, such as paid overtime. If the firm spends those hours pursuing other jobs, track qualified quotes, wins, and the margin those jobs produce. The SBA's break-even guidance separates fixed costs from the contribution earned per additional sale. Use that distinction when deciding whether a change will improve the economics of quoting. SBA break-even calculation

Look for the intervention before the next request. If unqualified prospects repeatedly ask for full takeoffs before they can confirm a budget, offer an early range and define what qualifies for detailed work. If viable jobs wait for the same supplier information, improve the request or give the estimator a verified source. Test whether the change preserves the quality the buyer needs.

How do you decide which expensive quotes are worth doing?

Compare the preparation cost with the kind of opportunity the business is buying access to. If a group of ten comparable jobs costs $425 each to quote and two turn into work, the firm spent $4,250 in quoting or $2,125 per win for that group. That observation helps the owner ask whether

the contribution from those jobs justifies the effort. It also leaves room for a long-standing customer or a market the company is deliberately entering. The arithmetic is illustrative, and ten cases give a starting point for review.

The next move depends on where the spend goes. If the wins come from opportunities that arrive with confirmed scope and budget, tighten qualification before starting a takeoff. If a good customer routinely needs an early range that later becomes a bid, design a lower-cost way to provide that range. If the hard work keeps the firm from taking on jobs it cannot deliver profitably, keep that check and look for rework elsewhere.

Three numbers worth having at the next commercial review.

- Cost and time by quote type.
- Hours spent on avoidable rework, with examples of why it happened.
- What happened to the capacity the team got back.

At Friday's meeting, two quotes can still appear as two quotes. The owner can also see which one consumed expert time, what that time helped decide, and whether the same investment makes sense next week.

Frequently asked questions

What hourly rate should we use?

Use a consistent rate for the employment or contracted cost you want to understand. Document which benefits and overhead are included and avoid counting the same cost twice.

Can we estimate lost revenue from slow quotes?

Track actual buyer deadlines, missed opportunities, and stated reasons. Turnaround alone cannot show which jobs you would have won at the same price, scope, and capacity.

Should we charge for detailed estimates?

Consider which work is needed to qualify the opportunity, whether the result has standalone value, and what customers will accept. Try a defined paid investigation or an early range where the effort and uncertainty warrant it.

The firm, costs and capacity calculation are illustrative. FedEx and the SBA provide the public references used here.